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Title: FINANCE BUDGET ANALYSIS

Submitted By:

Name: L Prajwal

Reg No: 2511022250099

Date: 15-08-2026

Faculty Name: Mr. Aman Kumar Sharma

**Department of Computer Application Alliance
University**

**Chandapura - Anekal Main Road, Anekal Bengaluru –
562106**

FINANCE BUDGET ANALYSIS

Budget vs. Actual Performance Report

Executive Summary

Between FY2021 and FY2023, the organization recorded 10,010 transactions across six departments, six spend categories, five regions, and four payment methods. Total budgeted spend for the period was ₹796.1M against total actual spend of ₹891.2M — an overrun of ₹95.1M, equivalent to a 11.9% variance above budget.

Every department, category, and region exceeded its allocated budget over the three-year period; none finished under budget. Marketing carried the largest relative overrun (+15.1%), while Finance was the most disciplined (+8.4%). The overrun peaked in FY2022 (+13.7%) before narrowing to +10.1% in FY2023, suggesting early signs of improved cost control heading into the current year.

This report walks through department-level performance, monthly and yearly spending trends, category and regional breakdowns, and payment-method activity, closing with key findings and recommended actions for budget owners.

Headline KPIs

TOTAL BUDGET	TOTAL ACTUAL	TRANSACTIONS	VARIANCE (₹)	VARIANCE (%)
₹796.1M	₹891.2M	10,010	+₹95.1M	+11.9%

Department Performance

Spending is broadly balanced across departments, with budgets ranging from ₹125.8M (IT) to ₹137.4M (HR). However, actual spend outpaced budget in every department, and the size of the overrun varies meaningfully — from Finance's relatively contained +8.4% to Marketing's +15.1%.

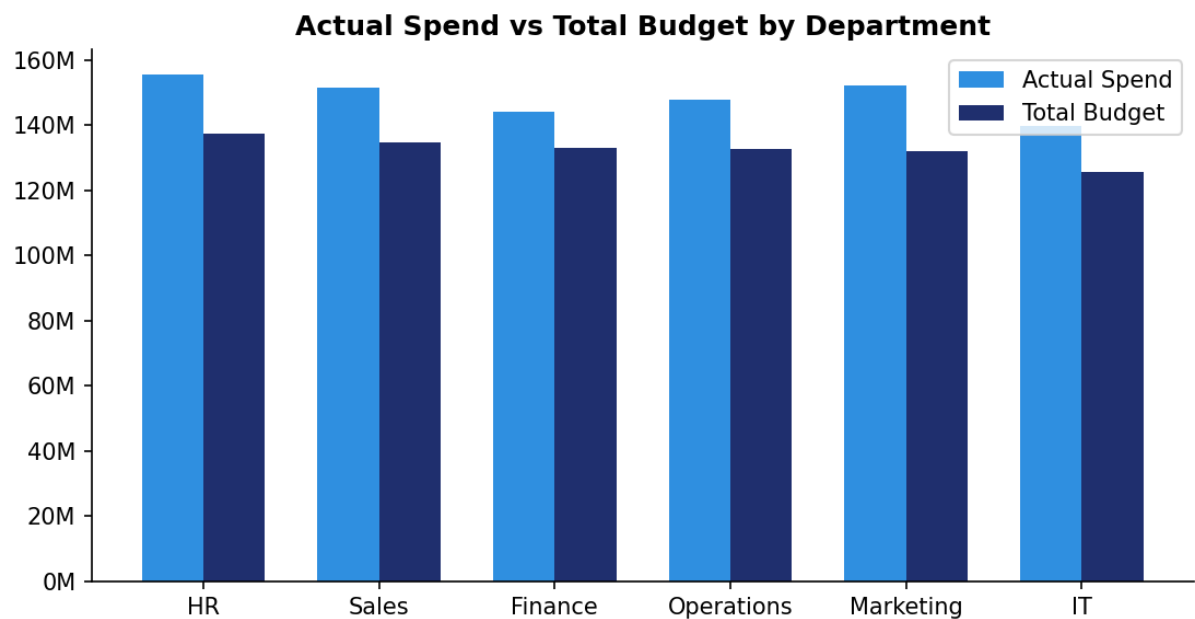


Figure 1. Actual spend vs. total budget by department (₹M).

Budget vs. Actual by Department

Department	Budget (₹M)	Actual (₹M)	Variance (₹M)	Variance %
Marketing	132.2	152.1	+20.0	+15.1%
HR	137.4	155.6	+18.1	+13.2%
Sales	134.9	151.6	+16.7	+12.4%
Operations	132.7	148.0	+15.3	+11.5%
IT	125.8	139.7	+13.9	+11.0%
Finance	133.0	144.2	+11.2	+8.4%

Key Observations

- Marketing shows the highest overspend rate (+15.1%) and warrants the closest review of campaign and vendor costs.
- Finance is the only department under a 10% overrun, suggesting stronger cost controls or more conservative original budgeting.
- HR and Sales together account for over ₹34.8M of the total ₹95.1M variance — nearly 37% of the organization's overrun.

- Departmental budgets are relatively evenly sized (a ₹11.6M spread from lowest to highest), so variance differences reflect execution, not budget-sizing skew

Monthly Spending Trend

Aggregating all three years by calendar month reveals a consistent pattern: actual spend tracks above budget in every single month, with no month showing actual spend at or below the budgeted level. The gap narrows slightly in June and widens again in July and December.

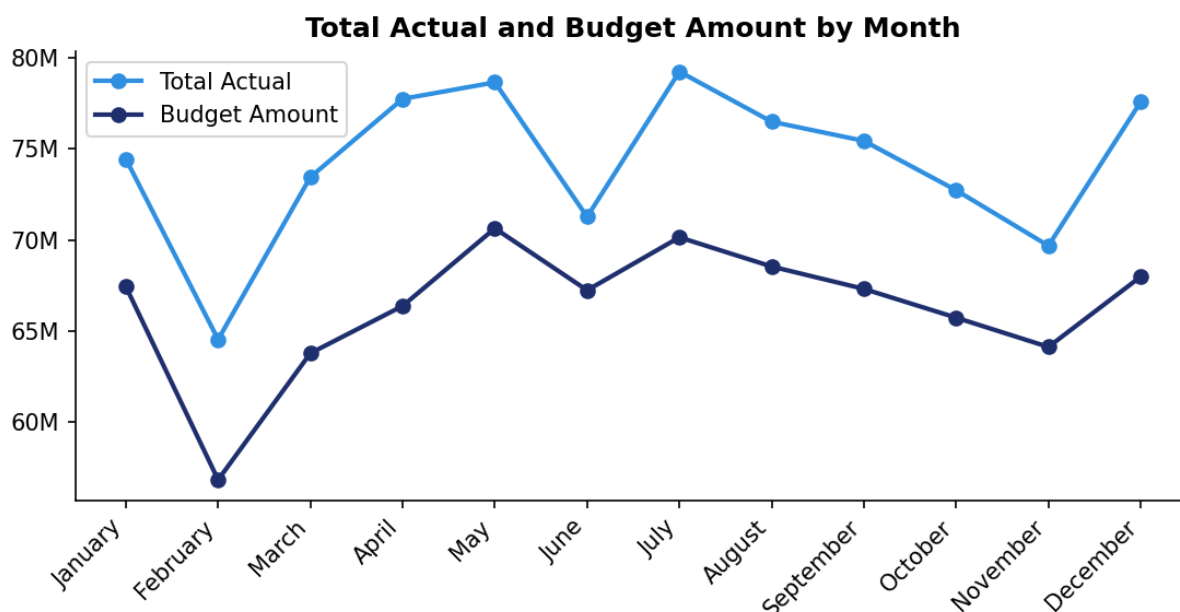


Figure 2. Total actual vs. budget amount by month (₹M, FY2021–FY2023 combined).

Monthly Highlights

- May is the highest-budget month (₹70.6M) and also one of the highest-actual months (₹78.6M), indicating consistently elevated spend in Q2.
- February is the lowest-spend month on both budget (₹56.8M) and actual (₹64.5M) bases, likely reflecting a shorter operating month.
- July shows one of the widest gaps between budget and actual (₹70.1M vs. ₹79.2M, a ₹9.1M swing), meriting a mid-year budget checkpoint.
- No month in the dataset closes on or under budget — the overrun is systemic rather than seasonal, pointing to a structural planning or approval-control gap rather than a one-off event.

Yearly Trend and Category Breakdown

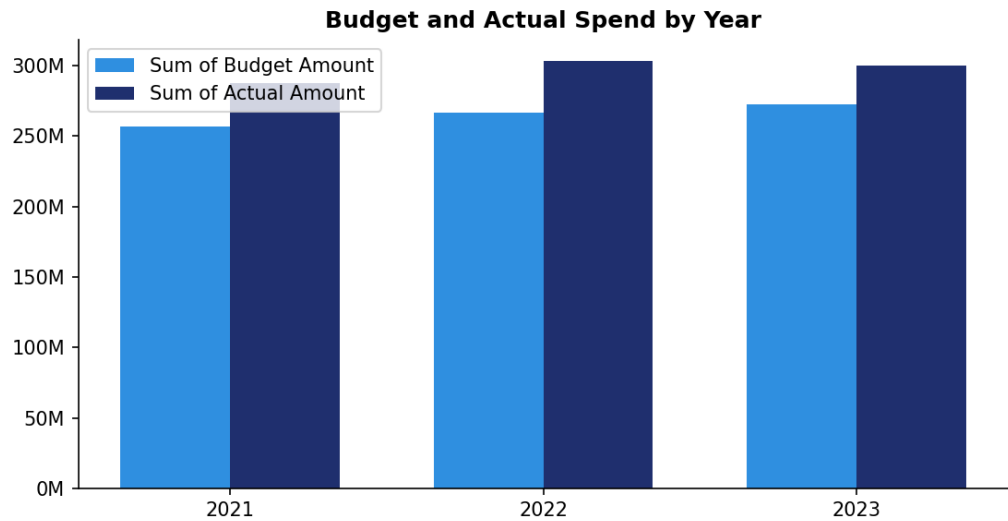


Figure 3. Budget vs. actual spend by year (₹M).

Year	Budget (₹M)	Actual (₹M)	Variance %
2021	256.9	287.8	+12.0%
2022	266.7	303.2	+13.7%
2023	272.6	300.2	+10.1%

Spending grew steadily year over year on both budget and actual bases. Variance peaked in FY2022 at +13.7% before improving to +10.1% in FY2023 — the best discipline of the three years, though still a meaningful overrun.

Spend by Category

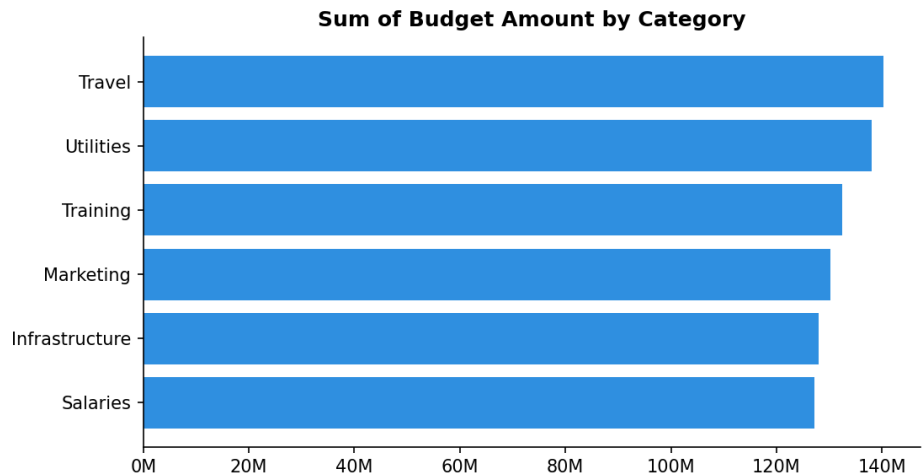


Figure 4. Sum of budget amount by category (₹M).

Travel (₹140.2M) and Utilities (₹138.0M) carry the largest budgets, while Salaries (₹127.2M) is the smallest. Despite having the smallest budget, Salaries shows the highest overrun rate at +16.2%, followed by Utilities at +12.6% — both are strong candidates for tighter forecasting.

Regional and Payment Method Analysis

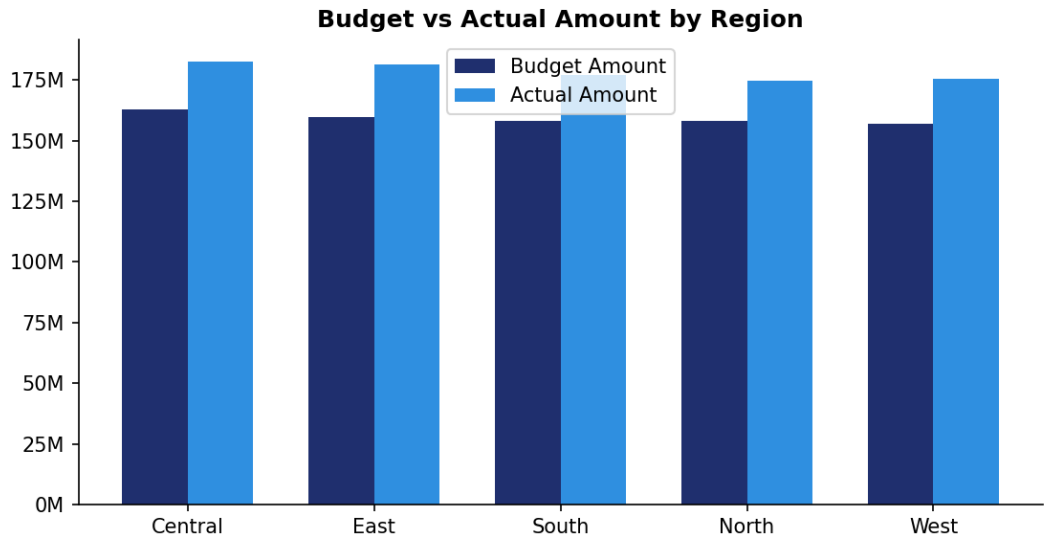


Figure 5. Budget vs. actual amount by region (₹M).

Spend is evenly distributed across the five regions (₹157M–₹163M budgeted each), but overrun rates differ: East runs hottest at +13.4%, while North is the most controlled at +10.5%. Central carries the largest absolute budget (₹163.0M) owing to its role as the primary operations hub.

Count of Transactions by Payment Method

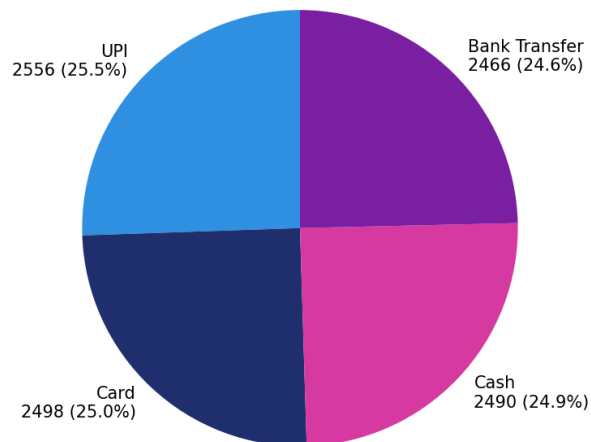


Figure 6. Share of transactions by payment method.

Transaction volume is almost perfectly split across the four payment methods — UPI (25.5%), Cash (24.9%), Card (25.0%), and Bank Transfer (24.6%) — indicating no single channel dominates and that payment-method mix is not a material driver of the budget overrun.

Key Findings & Recommendations

Key Findings

- Every department, category, region, and month exceeded its budget over FY2021–FY2023 — the ₹95.1M (11.9%) overrun is systemic, not isolated to a single unit or period.
- Marketing (+15.1%) and Salaries (+16.2%) show the largest relative overruns and are the top priorities for corrective action.
- FY2023 posted the best (lowest) variance of the three years at +10.1%, down from a peak of +13.7% in FY2022 — a positive trend worth reinforcing.
- Finance department and North region show the most disciplined spend-to-budget ratios and can serve as internal benchmarks for other units.
- Payment-method mix is balanced and not a contributing factor to the overrun, so remediation should focus on planning and approval processes rather than transaction channels.

Recommendations

- Tighten budget forecasting for Marketing and Salaries, the two highest-variance areas, starting with a root-cause review of FY2023 overages.
- Introduce a mid-year (July) checkpoint given the consistent widening of the budget-actual gap seen in that month across the dataset.
- Study Finance's and North region's budgeting and approval practices as a template for departments and regions with higher overrun rates.
- Set a target to bring the organization-wide variance below 10% in FY2024, building on the improvement already seen from FY2022 to FY2023.
- Establish monthly variance alerts at the department level so overruns are flagged before quarter-end rather than discovered in year-end review.

Data Source

This report is based on the full transaction-level dataset in Budget_vs_Actual_Data.xlsx (10,010 records spanning January 2021 – December 2023, covering Department, Category, Region, Budget Amount, Actual Amount, Payment Method, and Transaction ID fields), cross-referenced against the source Finance Budget Analysis KPI Dashboard.

GIT HUB REPOSITORTY :

<https://github.com/prajwaldotcom/PowerBi-DashBoards>